

Supplemental Material

Practice Questions

Financial Accounting
Dr. Joe (Joong Hi) Cho

Practice Questions

True/False Question

- 1) ____ The primary accounting standard-setting body in the United States is the International Accounting Standards Board.
- 2) ____ The purchase of an asset on account increases assets and decreases equity.
- 3) ____ The double-entry system of accounting refers to the placement of a double line at the end of a column of figures.
- 4) ____ Types of adjusting entries include deferral of unearned revenue, which requires the company to record a liability on the statement of financial position.
- 5) ____ Current liabilities are generally obligations that the company expects to pay within the coming year. [T]

True/False Question

- 1) ____ The primary accounting standard-setting body in the United States is the International Accounting Standards Board. [F]
- 2) ____ The purchase of an asset on account increases assets and decreases equity. [F]
- 3) ____ The double-entry system of accounting refers to the placement of a double line at the end of a column of figures. [F]
- 4) ____ Types of adjusting entries include deferral of unearned revenue, which requires the company to record a liability on the statement of financial position. [T]
- 5) ____ Current liabilities are generally obligations that the company expects to pay within the coming year. [T]

Multiple Choice Question

Sarah Kim is a graphic designer who requires clients to pay in advance for design services. Sarah routinely records these advance payments as Service Revenue when cash is received. During August, Sarah collected \$18,000 in advance from clients and completed \$11,000 of the related design work by the end of August.

What adjusting entry is required at the end of August?

- a. debit Unearned Service Revenue, 11,000; credit. Service Revenue, 11,000.
- b. debit Service Revenue, 7,000; credit Unearned Service Revenue 7,000.
- c. debit Cash, 18,000; credit Service Revenue, 18,000.
- d. debit Service Revenue, 11,000; credit Unearned Service Revenue, 11,000.

Multiple Choice Question

Sarah Kim is a graphic designer who requires clients to pay in advance for design services. Sarah routinely records these advance payments as Service Revenue when cash is received. During August, Sarah collected \$18,000 in advance from clients and completed \$11,000 of the related design work by the end of August.

What adjusting entry is required at the end of August?

- a. debit Unearned Service Revenue, 11,000; credit. Service Revenue, 11,000.
- b. debit Service Revenue, 7,000; credit Unearned Service Revenue 7,000.**
- c. debit Cash, 18,000; credit Service Revenue, 18,000.
- d. debit Service Revenue, 11,000; credit Unearned Service Revenue, 11,000.

Multiple Choice Question

During August, (Sarah made a mistake that she recognized as revenue even though she didn't provide any service yet)

Dr Cash 18,000

Cr Service Revenue 18,000

When completed 11,000 amount of the service, Sarah should adjust

Dr Service Revenue 7,000

Cr Unearned Service Revenue 7,000

When Sarah complete 7,000 amount of the service,

Dr Unearned Service Revenue 7,000

Cr Service Revenue 7,000

Multiple Choice Question

Star Company had the following transactions during 2025:

- Sales of ₩85,000 on account
- Collected ₩28,000 for services to be performed in 2026
- Paid ₩12,000 cash in salaries
- Purchased airline tickets for ₩6,000 in December for a business trip to take place in 2026

What is Star's 2025 net income using accrual accounting?

- a. 73,000
- b. 79,000
- c. 67,000
- d. 61,000

Multiple Choice Question

Star Company had the following transactions during 2025:

- Sales of ₩85,000 on account
- Collected ₩28,000 for services **to be performed** in 2026
- Paid ₩12,000 cash in salaries
- Purchased airline tickets for ₩6,000 in December for a business trip to take place in 2026

What is Star's 2025 net income using accrual accounting?

- a. 73,000**
- b. 79,000
- c. 67,000
- d. 61,000

Multiple Choice Question

2025. When collected cash, (28,000 has not been recognized as revenue as the service has not been performed.)

Dr. Cash 28,000

Cr. Unearned Service Revenue 28,000

2026. When perform the service,

Dr. Unearned Service Revenue 28,000

Cr. Service Revenue 28,000

2025.12 Purchase airline ticket, but it has not been used yet

Dr. Prepaid Expense (Asset) 6,000

Cr. Cash 6,000

When Star company uses the airline ticket for the business trip in the future (e.g., the year of 2026)

Dr. Travel Expense 6,000

Cr. Prepaid Expense 6,000